

**Before the
Federal Maritime Commission**

Docket No. 24-09

**Impact Products, LLC and Safety Zone, LLC
v.
COSCO Shipping Lines Co., Ltd.**

VERIFIED ANSWER

INTRODUCTORY STATEMENT

Respondent COSCO Shipping Lines Co. Ltd. (“COSCO” or “Respondent”) provides the following Verified Answer, noting specifically the Order of the Presiding Officer dated May 24, 2024 denying Respondent’s Motion to Dismiss and stating that the “assignment of claims [by Laufer] alleged in and attached to the amended complaint cures the defect alleged by Respondents in the Motion.” We note the obvious corollary that any claims other than those assigned by Laufer Group International (“Laufer”) with respect to which Complainants did not pay COSCO directly are no longer in the case, because Complainants did not cure the defect. Accordingly, COSCO responds only to the surviving claims; those which involve cargo carried by Assignor Laufer. To the extent that non-surviving claims – those not involving Laufer -- are asserted in the Complaint, Respondent denies them in full.

Respondent further notes that the Complaint is obviously written as if Complainants were pressing their own claims for reparations, rather than the assigned claims of Laufer. That makes it somewhat difficult to respond directly – as there is a disjoint between the allegations and the new reality – so COSCO does its best to address not just the (non-existent) relationship between Respondent and Complainants, but also the real relationship at issue – that between COSCO and

Laufer.

Therefore and subject to the foregoing, Respondent Answers the Complaint as follows:

1. Complainants Impact Products, LLC (“Impact Products”) and Safety Zone, LLC (“Safety Zone”) (collectively, the “Complainants”), by their undersigned counsel, bring this Amended Verified Complaint against Respondent COSCO Shipping Lines Co., Ltd. (“COSCO” or “Respondent”), pursuant to 46 U.S.C. Section 41301, to seek reparations for injuries to Complainants caused by COSCO’s violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* (the “Shipping Act”).

ANSWER: COSCO admits that Complainants have filed a complaint against COSCO, the contents of which are the best evidence of what it says but denies the remaining allegations of Paragraph 1. COSCO specifically denies both that COSCO violated the Shipping Act, and that Complainants suffered any injury.

2. Since the beginning of the COVID-19 pandemic, global ocean carriers, including COSCO, have, as alleged herein, and upon information and belief, unjustly and unreasonably exploited customers, such as Complainants, by vastly increasing their profits at the expense of shippers and the U.S. public generally, which bears increased freight cost in the form of inflation.

ANSWER: COSCO denies the allegations of Paragraph 2 as to COSCO and lacks information sufficient to respond regarding other ocean carriers.

3. As explained further below, beginning in 2021 through 2022 (the “Relevant Period”), COSCO assessed demurrage, detention, per diem, and yard storage charges (the “Charges”) to Complainants for periods of time in which Complainants’ ability to pick up containers at the ports, or return empty containers promptly, was significantly constrained

due to circumstances outside of the Complainants' control, such as congestion at the ports and shortage of equipment.

ANSWER: COSCO denies the allegations of Paragraph 2.

4. COSCO's conduct, as alleged herein, with respect to the receipt, handling, storage, and/or delivery of the Complainants' property and, upon information and belief, of other shippers, occurred on a normal and customary basis.

ANSWER: COSCO denies the allegations of Paragraph 4

5. Complainants Impact Products, LLC and Safety Zone, LLC are corporations with offices in Ohio, Tennessee, and Connecticut, among other locations. Impact Products LLC is located at 2840 Centennial Rd., Toledo, OH 43617 and they have an email address of Thomas.russo@supplysourceglobal.com. Safety Zone LLC has an address of 385 Long Hill Rd., Guilford, CT 06437 and an email address of Thomas.russo@supplysourceglobal.com. Their parent corporation is Supply Source Enterprises ("Supply Source"). Complainants are "shippers" pursuant to 46 U.S.C. 40102(23). Impact Products is the leading manufacturer of supplies and accessories for the cleaning industry, and Safety Zone manufactures safety equipment and products. They have been in business for over fifty years. Impact Products was formed in 1963 and Safety Zone in 1973. Complainants have service centers in Connecticut, Ohio, and Shanghai, China and distribution centers in Connecticut, Indiana, California, Texas, and Florida.

ANSWER: COSCO denies the allegation of Paragraph 1 that Complainants are "shippers," except insofar as they are designated as the shipper and/or consignee on the bill of lading for a specific shipment. COSCO lacks information sufficient to admit or deny the remaining allegations of Paragraph 5.

6. Upon information and belief, Respondent COSCO is a company organized under the laws of China. COSCO was established in 2016 and is a Chinese global ocean carrier located at No. 378 Dong Da Ming Road, Shanghai, 200080, People's Republic of China and its U.S. office is located at 100 Lighting Way, Secaucus, NJ 07094. COSCO offers container transportation in 105 counties and serves multiple ports in the United States.

ANSWER: COSCO admits the allegations of Paragraph 6 except that COSCO denies the allegation that it was established in 2016 and lacks information sufficient to admit or deny the allegation that it is a "global ocean carrier, since that term is nowhere defined.

7. The Federal Maritime Commission ("FMC") has jurisdiction over this Amended Verified Complaint pursuant to 26 U.S.C. §§ 41301 through 41309.

ANSWER: COSCO denies the allegation of Paragraph 7 that the FMC has jurisdiction under "26 U.S.C. §§ 41301 through 41309," but admits that the FMC generally has jurisdiction pursuant to the Shipping Act, except for claims that sound in contract or belong in federal court pursuant to the Shipping Act, Judiciary Act of 1789, or the U.S. Constitution.

8. The FMC has personal jurisdiction over COSCO as an ocean common carrier, as that term is defined by 46 U.S.C. Section 40102(18), that has entered into a "service contract", as that term is defined by 46 U.S.C. Section 40102(21), with Laufer Group International ("Laufer").

ANSWER: COSCO admits the allegation of Paragraph 8 that the FMC has personal jurisdiction over COSCO as an ocean common carrier. COSCO. The remaining allegations of Paragraph 8 are meaningless surplusage which COSCO cannot understand and so denies. COSCO admits that it had a service contract with Laufer, but believes that the

shipments at issue may well have moved via other service contracts between COSCO and entities other than Laufer.

9. COSCO's actions alleged herein constitute failures by COSCO to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainants, in violation of 46 U.S.C. Section 41102(c) and the FMC's Interpretive Rule on Demurrage and Detention under the Shipping Act, 85 Fed. Reg. 29,638 (May 18, 2020 (partially codified at 46 C.F.R. Section 545.5) (the "Interpretive Rule"), and in particular the Incentive Principle articulated in the Interpretive Rule.

ANSWER: COSCO denies *in toto* the allegations of Paragraph 9.

10. COSCO's assessment of the Charges or a substantial majority thereof, and the alleged acts and omissions of COSCO that led to the assessment of such Charges, also constitute violations of 46 U.S. Section 41104, including 46 U.S.C. Section 41104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate.

ANSWER: COSCO denies *in toto* the allegations of Paragraph 10.

11. For the period of 2021 through 2022, Complainants used Laufer, a non-vessel operating common carrier ("NVOCC"), to assist in delivering containers with Complainants' goods (the "Relevant Containers") from outside the United States to the United States. Upon information and belief, Laufer entered into a service contract or service contracts with COSCO for the shipment of the Relevant Containers on COSCO's vessels. Laufer, as an NVOCC, booked the shipment of the Relevant Containers under these service contracts.

ANSWER: COSCO denies the allegations of Paragraph 11 except that COSCO admits that Laufer is an NVOCC and that COSCO was party to a service contract or service contracts with Laufer. COSCO lacks sufficient information to admit or deny that the Relevant Containers were transported by COSCO pursuant to a service contract between COSCO and

Laufer, and believes it likely that at least some of the Relevant Containers were moved pursuant to other service contracts that COSCO had with other entities.

12. Throughout the Relevant Period, Complainants, through Laufer, shipped 1,577 unique containers using COSCO. Of those containers, COSCO assessed Supply Source with demurrage on 244 containers, detention charges on 15 containers, per diem charges on 73 containers, and yard storage charges on 312 containers. The total demurrage, detention, per diem, and yard storage charges total \$1,656,492.00.

ANSWER: COSCO denies the allegations of Paragraph 12. COSCO specifically denies that it assessed any charges against Supply Source.

13. Laufer passed the Charges through to Complainants with no markups. While Laufer invoiced Complainants for the Charges, it simply acted as a conduit for the Charges that were assessed by COSCO. Complainants subsequently paid Laufer a total of \$1,656,492.00 for the Charges assessed by COSCO during the Relevant Period. Laufer then used the proceeds it received from Complainants to pay COSCO.

ANSWER: COSCO lacks information sufficient to admit or deny the allegations of Paragraph 13, except that COSCO denies the allegations of the last sentence of Paragraph 13 as misstating the order of events.

14. Laufer has assigned the claims alleged herein against COSCO to Complainants. A true and correct copy of the Assignment of Claims Agreement between Complainants and Laufer is attached herein as Exhibit A.

ANSWER: COSCO admits the allegation of Paragraph 14 that Laufer executed an assignment to Complainants of certain claims that Laufer may have had against COSCO to Complainants, but denies that Laufer had valid claims against COSCO and reserves the right to challenge the validity of the assignment and/or the nature of the claims Laufer

allegedly assigned.

15. As Commissioner Rebecca F. Dye emphasized in her Final Report from the FMC's Fact Finding Investigation 29, "the Interpretive Rule on Detention and Demurrage promulgated by the Commission pursuant to Fact Finding 28 provides the shipping public with an enforceable principle that the Commission employs to assess the reasonableness of demurrage and detention practices and regulations under the Shipping Act of 1984, as amended."

ANSWER COSCO asserts that the document itself is the best evidence of its contents.

COSCO denies that the existence of this document makes it so.

16. As set forth in the FMC's Interpretive Rule, "the purpose of demurrage and detention are to incentivize cargo movement," and therefore the FMC "will consider in the reasonableness analysis under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity."

ANSWER: COSCO asserts that the Interpretive Rule itself is the best evidence of its contents.

17. COSCO's assessment of the Charges, or a substantial majority thereof, and COSCO's acts and omissions that led to the assessment of the Charges, were incapable of incentivizing cargo movement and therefore unreasonable.

ANSWER: COSCO denies the allegations of Paragraph 17.

18. To maximize container use and port storage space, carriers charge a daily fee to shippers who fail to pick up containers promptly or after the number of free days has expired. Similarly, an importer faces detention charges if it fails to unload a container and return the empty container to the port within the free period.

ANSWER: COSCO denies the allegations of Paragraph 18 as inaccurate.

19. COSCO refused to act reasonably by increasing the number of free days available to Complainants even though COSCO created delays beyond Complainants' control.

ANSWER: COSCO denies the allegations of Paragraph 19. COSCO also notes that any free time was available to Laufer, not Complainants and that the Complaint does not allege that Laufer requested extension of free time for any specific shipment(s).

20. In 2021 and 2022, the volume of shipments coming into certain ports had surged, compared to 2020. Even though the volume increased, COSCO refused to divert shipments to less crowded ports and also failed to extend the number of free days before it assessed the Charges.

ANSWER: COSCO lacks information sufficient to admit or deny the allegation of the first sentence of Paragraph 20, given that the term "certain ports" is undefined. As to the second sentence of Paragraph 20, COSCO denies that it refused to divert shipments to less crowded ports or, as already answered in response to Paragraph 19, that COSCO failed to extend free time for specific shipment(s) upon request. COSCO notes that the Complaint does not allege that Laufer requested diversion of vessels (or that COSCO could divert vessels or that other, less-crowded ports suitable for particular COSCO vessels were available) or requested extension of free time for any specific shipment(s).

21. The Charges assessed by COSCO and paid by Complainants were assessed during periods of time in which such Charges were not just or reasonable because of circumstances outside the control of Complainants and their agents and service providers, such as congestion at ports and shortage of equipment.

ANSWER: COSCO denies the allegations of Paragraph 21.

22. COSCO failed to provide adequate practices and facilities to handle and store COSCO's empty containers and also failed to provide adequate facilities for its customers, including

Complainants, to return empty containers.

ANSWER: COSCO denies the allegations of Paragraph 22.

23. Despite that knowledge, COSCO continued to accept Complainants' goods for ocean common carriage and for receipt, handling, storage, and/or delivery through the ports.

ANSWER: COSCO denies the allegations of Paragraph 23.

24. COSCO failed to provide reasonable free time for Complainants for containers COSCO transported into the ports during the time COSCO failed to clear its container backlog.

ANSWER: COSCO denies the allegations of Paragraph 24.

25. The Charges did not serve, and could not have served, as a financial incentive to promote freight fluidity, but instead operated only as a punitive penalty on Complainants for circumstances over which Complainants and their agents and service providers had little to no control.

ANSWER: COSCO denies the allegations of Paragraph 25.

26. COSCO also failed to provide sufficient detail on its invoices to allow Complainants to understand the reasons for the Charges and to be able to contest the Charges.

ANSWER: COSCO denies the allegations of Paragraph 26.

27. If not fixed, COSCO's unlawful practices will become industry standard and leading to a situation where all global container lines can impose the improper detention and demurrage charges upon shippers because of delays and conditions outside of shippers' control.

ANSWER: COSCO denies the allegations of Paragraph 27.

28. Complainants repeats and realleges the allegations above as if fully set forth herein.

ANSWER: COSCO repeats and reasserts the answers above as if fully set forth herein.

29. COSCO's assessment of the Charges, and the alleged acts or omissions of COSCO that led

to the assessment of such Charges, constitutes failures by COSCO to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering Complainants' property in violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule.

ANSWER: COSCO denies the allegations of Paragraph 29. COSCO also notes that 46 C.F.R. Section 545.5 is the Interpretive Rule.

30. Complainants repeat and reallege each allegation above as if fully set forth herein.

ANSWER: COSCO repeats and reasserts the answers above as if fully set forth herein.

31. COSCO's assessment of the Charges, and the alleged acts or omissions of COSCO that led to the assessment of such Charges, constitutes unreasonable refusal to deal or negotiate with Complainants, in violation of 46 U.S.C. Section 41104(a)(10).

ANSWER: COSCO denies the allegations of Paragraph 29.

32. The foregoing alleged illegal acts of COSCO have directly and proximately injured Complainants by forcing Complainants to pay the Charges.

ANSWER: COSCO denies the allegations of Paragraph 32. COSCO specifically denies that it forced Complainants (or anyone) to pay the Charges and that Complainants paid any charges to COSCO.

33. Complainants have been, and continue to be, actually and materially injured by each of COSCO's continuous conduct in violation of the Shipping Act alleged herein.

ANSWER: COSCO denies the allegations of Paragraph 33.

34. COSCO's violations alleged herein are causing direct, proximate, and ongoing financial damages to Complainants in an amount in excess of \$1,500,000.00 and to be further demonstrated in this proceeding.

ANSWER: COSCO denies the allegations of Paragraph 34.

REQUEST FOR ORAL HEARING

Respondent requests an oral hearing in Washington, D.C.

AFFIRMATIVE DEFENSES

1. The FMC lacks authority to adjudicate this matter, as it would violate the Seventh Amendment.
2. The FMC lacks authority to adjudicate this matter, as it would violate the Judiciary Act of 1789.
3. The FMC lacks authority to adjudicate this matter to the extent that Complainants claims sound in contract.
4. Complainant has failed to plead essential elements of a claim under 46 U.S.C. Section 41102(c).
5. Complainant has failed to plead essential elements of a claim under 46 U.S.C. Section 41104(a)(10).
6. Complainant waived all of its claims due to its failure to use the procedures required by the FMC and maintained by COSCO for addressing disputes about detention, demurrage, and per diem charges.
7. Because COSCO maintained procedures for disputing detention, demurrage, storage, and per diem charges and Complainant willfully declined to use them, COSCO's actions are *per se* reasonable.
8. Any harm experienced by Complainant was as a result of its own failures or inaction.
9. Complainant has failed to state a claim for which relief can be granted, including for reasons of vagueness.
10. Complainants have no more rights against COSCO than Laufer had against COSCO, and Laufer

had no claims against COSCO.

11. Complainant has not suffered any actual injury or damage as a result of Respondent's alleged violations of the Shipping Act, which, if any, are denied.

12. Complainant acted as a volunteer in making payments to non-party Laufer without determining the validity of Laufer's claims before making payment.

13. Any delay in the delivery of cargo or return of empty equipment that resulted in charges to the Complainant was caused by Laufer or its agents and was the responsibility of Laufer or its agents; invoicing the Complainant for charges incurred due to its delay was an unreasonable practice by Laufer, an NVOCC.

14. Complainant lacks standing with respect to any of the claims other than those assigned to it by Laufer.

15. To the extent that the Claims involve charges from entities other than COSCO, such as railroads, terminal operators, truckers, and storage facilities, COSCO cannot be held responsible.

DATED: June 5, 2024

Respectfully submitted,

Rebecca A. Fenneman

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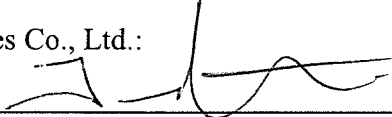
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**ATTORNEYS FOR RESPONDENT,
COSCO Shipping Lines Co. Ltd.**

VERIFICATION

I declare under penalty of perjury that the foregoing Answer is true and correct. For
COSCO SHIPPING Lines (North America) Inc. on behalf of COSCO Shipping

Lines Co., Ltd.:

By:  _____

Date: 6-5-2024

Name: JAMES HOUGHTALIN

Title: CHIEF RISK OFFICER

Address: 100 LIGHTNING WAY, SECAUCUS, NJ 07094

Email: j.houghta@cosco-usa.com

CERTIFICATE OF SERVICE

I certify that on this 5th day of June, 2024, a true and correct copy of the foregoing
VERIFIED ANSWER was served by email on all counsel of record in accordance with 46 CFR
Part 502 and the Commission's Order of May 12, 2020.

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